Chapter Review

5-7b Key Terms

accounts payable subsidiary ledger (The subsidiary ledger containing the individual accounts with suppliers (creditors); also called the *creditors ledger*.)

accounts receivable subsidiary ledger (The subsidiary ledger containing the individual accounts with customers; also called the *customers ledger*.)

Administrative expenses (Expenses incurred in the administration or general operations of the business.)

asset turnover ratio (A profitability ratio that measures how effectively a business is using its assets to generate sales, computed as sales divided by average total assets.)

business-to-business (B2B) (Transactions between suppliers and retailers.)

buisness-to-consumer (B2C) (Transactions between retailers and consumers.)

cash refund (An amount paid by the seller to the buyer for merchandise that is defective, is damaged during shipment, or does not meet the buyer's expectations.)

controlling account (The account in the general ledger that summarizes the balances of the accounts in a subsidiary ledger.)

cost of goods sold (The cost of merchandise sold recognized as an expense; the cost of finished goods available for sale minus the ending finished goods inventory.)

coupon (A sales incentive or promotion that provides the customer a discount when purchasing a product.)

credit memorandum (A form used by a seller to inform the buyer of the amount the seller proposes to credit to the account receivable due from the buyer.)

credit period (The amount of time the buyer is allowed in which to pay the seller.)

credit terms (Terms for payment on account by the buyer to the seller.)

Customer Refunds Payable (A liability account for estimated refunds and allowances that will be paid or granted to customers in the future.)

debit cards (Cards used for electronic payment by which the money required by the purchase is deducted instantly from the customer's bank account.)

debit memorandum (A form used by a buyer to inform the seller of the amount the buyer proposes to debit to the account payable due the seller.)

Estimated Coupons Payable (A current liability account for the estimated amount of coupons printed out with sales receipts that will be redeemed by customers.)

Estimated Returns Inventory (A current asset account for the estimated amount of merchandise that will be returned by customers.)

FOB (free on board) destination (Freight terms in which the seller pays the transportation costs from the shipping point to the final destination.)

FOB (free on board) shipping point (Freight terms in which the buyer pays the transportation costs from the shipping point to the final destination.)

general ledger (The primary ledger, when used in conjunction with subsidiary ledgers, that contains all of the balance sheet and income statement accounts.)

gross method of recording sales discounts (A method of recording a sales invoice at the gross amount rather than the amount net of any discounts offered for early payment.)

gross profit (Sales minus the cost of goods sold.)

instant rebates (Rebates that may be redeemed at the time of purchase.)

inventory (Merchandise on hand (not sold) at the end of an accounting period.)

inventory shrinkage (The amount by which the merchandise for sale, as indicated by the balance of the inventory account, is larger than the total amount of merchandise counted during the physical inventory.)

inventory subsidiary ledger (A supporting ledger to the inventory account, containing an individual account for each inventory item.)

invoice (The bill that the seller sends to the buyer for sales made or services rendered on account.)

multiple-step income statement (A form of income statement that contains several sections, subsections, and subtotals.)

net method of recording sales discounts (A method of recording a sales invoice at the amount net of any discounts for early payment.)

operating cycle (The process by which a company spends cash, generates revenues, and receives cash from customers.)

Operating income (The difference between gross profit and operating expenses.)

other expense (Expenses that cannot be traced directly to operations.)

other revenue (Revenue from sources other than the primary operating activity of a business.)

periodic inventory system (An inventory system in which the inventory records are updated only after a physical count has been taken at periodic intervals, usually at the end of an accounting period.)

perpetual inventory system (The inventory system in which each purchase and sale of merchandise is recorded in the inventory account and related subsidiary ledger; therefore, the inventory records are updated continuously.)

physical inventory (A detailed listing of merchandise on hand.)

point-of-sale coupons (Coupons that have no value and the retailer has no obligation until a customer purchases merchandise and presents the coupon.)

purchases discounts (Discounts taken by the buyer for early payment of an invoice.)

purchases returns and allowances (From the buyer's perspective, returned merchandise or an adjustment for defective merchandise.)

rebate (A sales incentive or promotion that provides the customer a refund after the product is purchased.)

retail business

sales

sales allowance (A reduction in a customer's account receivable granted due to damaged or defective merchandise.)

sales discount (From the seller's perspective, a discount that a seller may offer the buyer for early payment.)

selling expenses (Expenses that are incurred directly in the selling of merchandise.)

single-step income statement (A form of income statement in which the total of all expenses is deducted from the total of all revenues.)

special journals (Journals designed to be used for recording a single type of transaction that occurs frequently.)

subsidiary ledger (Individual accounts with a common characteristic grouped together in a separate or secondary ledger, which is used to support a controlling account in the general ledger.)

suppliers (A company that sells merchandise to retailers.)

trade discounts (Discounts from the list prices in published catalogs or special discounts offered to certain classes of buyers.)

vendors (A company that sells merchandise to retailers.)

Wholesale businesses (A company that sells merchandise to other businesses rather than to the public.)